Let us look at an example which meets all of the conditions.

Notice the highlighted part. As you can see in the above image, this stock has fulfilled every single of our conditions. It has given a rally of over 15-20% after which it consolidated in a range during which the volume also dried. It has given a breakout with sudden volume spikes and a huge green candle. Sudden volume spike shows development of renewed interest of investors in the stock and it is more likely that the stock will only go upwards from here.

You may enter at the high of the huge green candle. ***Because this is a positional strategy, you may keep a stoploss of minimum 5% of the stock's range. Remember, try to keep your stoploss below a level of significance to avoid getting out of the trade early. Our ideal R:R ratio for this setup will be 1:2 or 1:3.***

TIP

Zoom out and look for price ranges in which the price has taken a resistance. Try to get out of the trade before the stock reaches those levels.

The case in which the stock is trading at its all-time high, you can also go for pyramiding. Let's see what pyramiding means.